AS-A-SERVICE BUSINESS MODELS



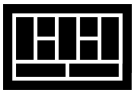
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SUPER GUIDE:

AS-A-SERVICE BUSINESS MODELS

BY DANIEL PEREIRA



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INTRODUCTION

Internet Technology (IT) is one of the most rapidly developing fields in the world. The range of product development and service provision. With innovations being churned out on a daily basis, it seems like innovators create solutions to problems that consumers were not even aware they had.

Due to this, it's sometimes hard to keep up with all these new concepts and terminologies. Some of them may range from potentially life-changing innovations to transient or niche trends. However, one relatively new concept which has been making waves within the business world is the as-a-Service (aaS) model.

As-a Service refers to a form of service provision in which the infrastructure used by the customer to achieve the desired goal is owned, maintained, and operated by a separate institution. Therefore, the user merely "rents" this infrastructure temporarily or as part of a subscription model. This allows them to enjoy all the benefits without the drawbacks of system maintenance, upgrading, and the cost of acquiring the infrastructure themselves.

While many arguments over the origin of this model exist, there is strong evidence that the rise is at least partly a result of the shift in consumer preference toward subscription-based services and the gradual decline in ownership of goods and services. In fact, a global study carried out by The Harris Group showed that 57% of the individuals surveyed wished that they could own less stuff.

This shows that in a world where consumerism and the

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pursuit of material and non-material possessions have been the norm, people were suddenly looking for ways to declutter their lives while still enjoying all the services they have come to expect over the years. Some other issues, which seemed to have contributed to the general decline in ownership, are the growing dissatisfaction with the ever-decreasing time between innovation and obsolescence, as well as the financial burden of the upfront payments associated with ownership.

In this article, we will take a deeper look at the aaS business model, the merits, demerits, features, and the future of the business model.

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WHAT ARE AS-A-SERVICE BUSINESS MODELS?

The as-a-Service business model is an emerging business structure that pioneered a shift from the traditional model of product ownership, to a more fluid customer-merchant relationship, where the consumer merely “rents” or obtains temporary ownership of the product or infrastructure required to provide the service.

This represents a shift from the stereotypical “goods-centered” way of thinking to one that is more “service-centered” and “customer-centric”. This means that most organizations are now taking the role of “value-facilitators” instead of being only “value-producers”.

Another popular way of referring to this sort of business model is as Anything-as-a-Service (XaaS). This refers not only to the numerous known subsets of this type of business model, but also to the countless possible areas that it can be applied. Some popular examples include:

- Software as a Service (SaaS);
- Communications as a Service (CaaS);
- Network as a Service (NaaS);
- Platform as a Service (PaaS);

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- Database as a Service (DBaaS);
- Infrastructure as a Service (IaaS);
- Storage as a Service (StaaS);
- Disaster Recovery as a Service (DRaaS);
- And so on.

There are several reasons why the popularity of XaaS has increased in recent years, each with its degree of responsibility. Some of these reasons are more closely associated with the consumer, while others are driven by the businesses themselves. Let's take a look at some of the most prominent factors driving this push towards non-ownership service provision.

- **The increased convenience of a pay-as-you-go model:** Convenience and flexibility have always been one of the driving forces behind consumer decision-making. The advantages of a consumption-based pricing model to the consumer are clear. It enables them to take advantage of only features that they feel are relevant, it improves customer satisfaction by allowing them to directly equate value to cost, and of course, it promotes pricing and budgetary control, since the total cost is directly related to the consumption of the product and is therefore predictable;

- **aaS models are more resistant to economic downturns:** Recent data obtained during the global pandemic in 2020 by the Technology Services Industry Association in a survey among companies showed that 50% of companies whose primary business model was built on product sales saw a significant downturn in bookings/sales. In contrast, only 23% of firms with a business model based on

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selling recurring services experienced this same level of sales reduction. This showed the relative resilience of service contracts to product sales during times of economic hardship;

- **Increased scalability:** AaS models are typically more flexible than product ownership-driven businesses in the area of scalability. Their services can be closely tailored to the specific requirements of the customer, taking into account their unique circumstances. This allows them to easily and cost-effectively scale up or down these services in response to the constantly changing requirements of their clients and the current business environment;

- **Reduced consumer liability in terms of infrastructure purchase, maintenance, and improvement:** This point can be more effectively illustrated using Database-as-a-Service (DBaaS). To many consumers, the cost of purchasing and maintaining a database can be quite high, both in terms of money, time, and manpower. This is especially true when it involves businesses or individuals who deal with significant amounts of information. However, employing the services of a DBaaS company not only saves you a significant amount of cost, but also allows you to increase efficiency by leveraging on their expertise and comparative advantage in that particular field due to economies of scale;

- **Better suited for supporting a remote workforce:** Another important point that was made more prominent during the global pandemic was the fact that a significant number of aaS models are better suited for remote work. This may be due to the fact that most aaS subtypes are more intimately related to the IT industry, which as a whole is more favorable for

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remote work;

- **Cost-effective for businesses to optimize and sell:** One of the key advantages of aaS models is their comparative price advantage due to a lower total cost of ownership (TCO). This implies that the operational costs of such a business model are lower due to the fact that they can leverage their expertise in the field and the relative advantage of economies of scale. This cost advantage is then passed to customers as lower prices for their services help to attract more clients.

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RELATED CONCEPTS TO THE AS-A-SERVICE BUSINESS MODELS

In the previous section, we discussed the aaS business model, what it entails, and some of the driving forces behind its increased popularity. Now, let's take a look at two concepts that are intimately related to the aaS model, cloud computing and the Internet of Things (IoT).

CLOUD COMPUTING

Cloud computing refers to the delivery of availability of various computing services over the internet without direct active management of these computer resources by the user. Some popular computer service resources which are included under this include data storage, analytics, computing power, databases, networking, IoT, software, and so on.

In a nutshell, this means that the user has access to all or a certain range of services without having ownership or direct responsibility for the maintenance of the infrastructure required to support these services. This infrastructure is rarely centralized, both in terms of location and function. In many cases, these data centers and services often have functions distributed over multiple locations separate from the central servers.

From the above, the link between asS and cloud computing is

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quite clear. Many aaS services are used as part of the cloud computing ecosystem, such as SaaS, IaaS, DBaaS, NaaS, StaaS, and so on. Therefore, without the innovation of the aaS model, cloud computing would not be possible.

History

The use of the word “cloud” with reference to virtualized data models dates back to 1993, when it was used by General Magic (a spin-off of Apple) and AT&T. It was used to describe distributed computing services with respect to their Telescript and PersonaLink technologies. While this was significantly different from what we take as cloud computing today, it was one of the earliest instances of distributed computing services

This idea was built on similar earlier concepts such as the concept of time-sharing, which was mostly associated with large vendors, such as IBM and DEC in the 1960s, through the practice of Remote Job Entry (RJE).

Another significant milestone in the early iterations of cloud computing technology occurred in the 1990s through the creation of virtual private networks (VPNs) by telecommunications companies. These allowed for more efficient use of bandwidth and promoted the concept of remote work, as users could access the services of a public network from a private terminal without being directly connected to the network. This also saw the creation of the characteristic “cloud” symbol by these companies as a division point between what users were responsible for and what the provider had responsibility for.

In the early 2000s, Amazon rolled out a range of services that were based on IaaS models and had the primary goal of providing internet services at a cheaper rate, using a pay-as-you-go model and based on the idea of server virtualization.

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In 2008, Google rolled out the Google App Engine. This was a PaaS that allowed users to create web applications using common programming languages, such as Python, PHP, and Node.js. The infrastructure and platform were fully managed by Google, and this encouraged easy deployment and upscaling of these applications, as more financial resources and manpower could be devoted solely to product development.

The Deployment Models

A cloud deployment model refers to a particular type of cloud computing environment. These are often distinguished based on ownership, size, and access. The three major deployment models include public clouds, private clouds, and hybrid clouds.

PUBLIC CLOUDS

In public clouds, the infrastructure and other relevant resources are fully owned by an organization that sells these services to the general public or a large organization, either using a subscription-based model or at times free of charge.

These services are usually accessed over the public Internet and typically allow users to directly link their cloud-resident applications to the data centers and servers of the public cloud providers through direct-connection services. Some popular examples include Amazon Web Services (AWS), Azure (Microsoft), and Google Compute Engine.

There are several merits and demerits to this deployment model. Some of the benefits include a high degree of scalability, cheaper prices, a more efficient disaster recovery system, and a more reliable framework. However, despite all these advantages, there are some significant limitations of

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public cloud servers. Security, lack of dedicated support, poor internal monitoring, and a minimal understanding of the back-end infrastructure are some of the key ones.

PRIVATE CLOUDS

Unlike public clouds, private clouds make use of infrastructure and resources created solely for a single organization. These resources may be managed by the cooperation itself or by a third party on the behalf of the organization.

There are several obvious advantages to this system. One of which is increased performance, availability, and control since the system resources are tailored to the peculiar requirements of the user. There is also increased security and flexibility.

One of the demerits of this system is that managing it internally still requires a hands-on approach, which defeats the purpose of using an aaS. Another issue is that the cost of maintenance and upgrading will be borne by the user, leading to high capital expenditure. Also, the resource use in terms of physical footprint, hardware, space, and environmental impact is higher due to the fact that all these resources cater to only a single user. There are also issues with scalability, flexibility, and the inconvenience of reduced remote access.

HYBRID CLOUDS

A hybrid cloud is a cloud computing service that combines the features of public clouds, private clouds, and other forms of cloud deployment models. This can be a wide range of possible combinations, but the common feature is the fact that it cannot be comfortably placed in a single category. This

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allows it to leverage the different advantages of each deployment method, but may also leave them exposed to some of their shortcomings as well.

There are some other lesser-used cloud deployment models, such as community clouds, distributed clouds, multi-cloud systems, big data clouds, and so on.

THE INTERNET OF THINGS (IOT)

The Internet of Things (IoT) can be defined as a term used to describe a range of physical, interrelated technologies that can connect and communicate over the internet or more local networks. These objects possess a range of sensors, software, processors, and other technology, which allows them to receive information and interact with their environment, as well as with each other.

In the consumer market, they are mostly seen in a range of "smart" products, such as smart homes, smartphones, and smart speakers, with as many as 50 billion connected devices being estimated by 2020. However, their use includes a much wider range of applications. Some of these include areas such as the Internet of Medical Things (IoMT), transportation, manufacturing, agriculture, and so on.

Despite the success of IoT and the value it has added to the XaaS as a whole, it does have a few key criticisms. These include complaints of fragmentation and lack of interoperability, threats to privacy, security, and user autonomy, data storage challenges, intentional obsolescence, environmental sustainability, and so on.

IoT Brings in the Newer 'aaS,' but it is Not for Everyone
Even though the Internet of Things-as-a-Service (IoTaaS) will be more extensively described later, it's important to mention

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the vital link between IoT and XaaS. The rise of IaaS has led to new business model innovations in industries that have traditionally thrived off the product sales model.

The use of IoT now allows companies and users to accurately measure how often the connected device was utilized, and therefore encouraged a pay-as-you-go model. This allows for more efficient resource consumption, a better cost-to-value comparison, and a reduced maintenance burden.

Companies like Rolls-Royce, John Deere, and Michelin have been able to utilize this in a wide range of products, by integrating various levels of IoT within their products and changing their business model to a subscription-based aaS model.

For example, Rolls-Royce has championed the use of IoT through the installation of Engine Health Monitoring devices and performance trackers in their jet engines. This allows these engines to be “rented” by the airline, and the cost is charged at a fixed rate per hour used. Another good example would be rented forklifts, which are charged according to the number or weight of objects transported.

What Do the Service Providers Require?

The high demand for IoTaaS means that Service Providers must be ready to provide for the wide range of consumer needs. This means significantly upscaling their end-to-end capabilities across hardware, software, network capabilities, and data storage. This means offering both general solutions and client-specific options through increased expertise, beneficial ecosystem partnerships, and strong solutions.

How an IoT as-a-Service Business Models May Work Through Predictive Scenarios

Through the use of IoT, both service providers and users will be able to better estimate the quality of the services they

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receive, not just the quantity. This will lead to a better cost-value comparison since it is outcome-based. That means calculating the cost of an automated cleaning service device based on how well it performed a task — for example, cleaning a particular area —, rather than just based on the size of the area it cleaned.

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TYPES OF AS-A-SERVICE BUSINESS MODELS

The aaS business model is also commonly referred to as Anything-as-a-Service (XaaS), which refers to the wide range of possible applications of this business model. Here we'll take a look at some of the popular aaS business models.

SOFTWARE-AS-A-SERVICE (SAAS)

Software-as-a-Service (SaaS) is an aaS business model built around the concept of providing software resources and services through a subscription-based model. This means that the software resources and infrastructure are centrally hosted, but can be accessed by the user through the internet, an app, or a browser. SaaS is also referred to as on-demand software, Web-based, or Web-hosted software.

It is an integral part of the cloud computing ecosystem and is closely associated with other aaS models, such as infrastructure-as-a-service (IaaS), platform-as-a-service (PaaS), data center-as-a-service (DCaaS), information technology management-as-a-service (ITMaaS), and so on.

SaaS business models are commonly seen in services such as messaging software, payroll software, booking software, various forms of office software, human resource management, and so on.

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Some of the key advantages of this form of software delivery include:

- **Increased flexibility:** It can be customized to the individual requirements of the user, without them having to purchase the actual software;
- **Reduced cost:** The software is usually cheaper in the long run because the cost of maintenance, upgrading, and upscaling is borne by the central host;
- **More frequent upgrades:** SaaS services are more frequently updated than traditional software delivery models, typically on a weekly or monthly basis.

DATA-AS-A-SERVICE

Data-as-a-Service (DaaS) is another aaS model which is closely associated with computing. It refers to a cloud-based data management software such as data storage and analysis. These services are provided on an on-demand basis and the infrastructure is not owned by the user.

The increased customization of DaaS services through the use of application programming interfaces (API) services and service-oriented architecture (SOA) allows for more specific services. The most common pricing systems used with DaaS models include a quantity-based pricing model (based on the amount of data involved) and the data type base model (based on the type of data involved).

Some of the common benefits of DaaS include cost-effectiveness, increased flexibility, greater data handling services due to economies of scale, and greater expertise. Another advantage is the fact that the user does not have to

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bear the responsibility of storing the data, especially where large amounts of data are involved. However, it has received criticism due to the risk of large-scale data security attacks, data piracy, and even copyright infringement.

IAAS

Infrastructure-as-a-Service is a form of aaS which offers cloud computing services, such as data partitioning, data storage, computing, networking, and servers. IaaS operates through the use of APIs to handle the most basic or rudimentary aspects of data computing, utilizing pay-as-you-go cloud services. These services are provided using an on-demand model and some good examples include Microsoft Azure, Rackspace, Digital Ocean, Google Compute Engine, and so on.

IaaS is closely related to other key pillars of cloud computing such as SaaS and PaaS, however, there are several key differences. In SaaS, almost all the key components of cloud computing are handled by a third party, while the user only obtains temporary access to these services and infrastructure, typically via an internet connection. However, in IaaS the operating system, applications, data processing, and middleware are handled by the user, while other services like the ones listed above are within the control of a third party.

PLATFORM-AS-A-SERVICE (PAAS)

Platform-as-a-Service is an intermediate between IaaS and Saas. It offers a large degree of on-demand computing services, however, some key functions — such as application and data analysis — are still within the control of the user. The

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main function of PaaS service providers is to help users accelerate the creation and deployment of software applications at a reduced cost and with less complexity.

Some of the advantages of the PaaS model to users include lower costs and complexity, accelerated product deployment, enhanced scalability, a reduction in the amount of coding required, and increased exchange of knowledge between developers.

There are also some advantages of PaaS to the parent business as well. It encourages the migration of customers into allied cloud computing services such as IaaS and creates a space for developers to interact with core tech offerings.

MOBILITY-AS-A-SERVICE

Mobility-as-a-Service is a revolutionary innovation to the traditional models of mass transit. It involves the use of “smart” technology and IoT technology to operate a fleet of vehicles that can be temporarily leased on a pay-as-you-go model or via a monthly subscription. There are several advantages to the widespread adoption of MaaS. These include both the environmental advantages, public convenience, and cost.

MaaS is a new technology and offers various market opportunities, such as its impact on suppliers and consumers. Even though barriers to the widespread adoption of the technology have not yet been fully enunciated — such as insurance, widespread feasibility, and even consumer involvement —, there is significant interest in the field.

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BLOCKCHAIN-AS-A-SERVICE

Blockchain-as-a-Service is a cloud computing service that offers various blockchain-related solutions through various third-party service providers. This helps in the integration of blockchain solutions into existing business structures, especially for businesses that lack the technical knowledge, time, or financial resources to fully create and implement these solutions on their own. These companies pay third-party to design, implement and maintain various blockchain technologies. Examples of such companies include Azure, Corda, AWS, Alibaba, IBM, and Oracle.

IOT-AS-A-SERVICE (IOTAAS)

The introduction of IoT into the aaS model has long been discussed. However, this will require significant restructuring of the way the system currently operates. First of all, the shift from a one-time transactional model to a long-term commitment is a significant challenge. Also, the lack of widespread interoperability amongst different brands may pose a significant challenge as well. However, these are offset by key advantages, such as lower upfront costs and an improved cost-to-value ratio.

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STEPS AND CLUES TO USE AS-A-SERVICE BUSINESS MODELS

Let's take a look at some of the general steps and tips involved in building an aaS business model.

3 GENERAL STAGES OF AN AAS BUSINESS MODEL

There are several general steps involved in building an aaS business model. We'll be using a SaaS business as an example since it most completely embodies the core principles of a SaaS business. Broadly, these steps can be classified into three main stages.

The Early Stage
This starts from the earliest stage of the business development, even before the first line of code is written or the first piece of hardware is purchased. The initial steps that any potential business should undertake should be a potential need in the market that either has not been addressed or a solution to a problem that they believe can be improved upon. After developing smart solutions to these issues, the next step is creating your minimum viable product (MVP).

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An MVP is a form of your aaS product that offers only the most basic functions. The basic uses of your MVP include creating a prototype product that can be displayed to early investors, creating publicity for your brand and product, obtaining continuous feedback by testing various iterations of the product, and even discovering other potential applications of the technology.

The Growth Stage

This is the stage of product release and massive upscaling. This involves leveraging on the publicity hopefully created through the MVP and the early advertising campaigns. It is very important at this stage to upscale your resources rapidly to ensure you are able to keep up with the demands of your increasing user base. This includes increasing bandwidth, human resources, data storage, and other key resources. Failure to do this may damage your reputation, something you cannot afford at this early stage.

Some companies may decide to enlist the help of startup incubators or startup accelerators. These are firms that offer services such as management training, funding, and even office space to startups to help them navigate the early stages of growth. They may also seek additional assistance from venture capitalists or angel investors.

The Mature Stage

Growth at this stage is not as rapid as in the previous phase. The mature stage involves mainly consolidating your loyal customer base, ensuring that you provide the best services through constant innovation, and maintaining a steady rate of growth.

This is the time to discover the services which matter the most to your customers and improve on them. It's also an opportunity to gather data from your user base and innovate

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new solutions.

CRITICAL SUCCESS FACTORS FOR SERVITIZATION SUCCESS

Business Strategy
A solid business strategy is a bedrock upon which the entire success of the project lies. However, for a good business strategy to succeed it requires strong leadership, a dedicated workforce, set targets, as well as constant room for innovation.

There are three main types of innovation commonly used during servitization: incremental innovation, niche innovation, and disruptive innovation. Despite their differences, they are geared towards building more customer-centric services — a key goal of your business strategy.

Customer Journey Engineering
This is a unique form of product design that focuses on more than just the look and feel of the product, but also on how it works. It respects the innate ability of consumers to look beyond the front-end of a service and appreciate the ease of use, practicality, and efficiency of the entire design.

This can only be done by building a customer-centric structure and using various service-design techniques to deliver a powerful end-to-end experience. In the end, a practical, efficient yet stylish user interface is meant to hide the inner complexities of the service.

Enterprise IT Renovation
Innovation is the lifeline of any company. Any company which fails to innovate will always stand the chance of being pushed out of the market. Of course, innovation is built on the ability

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of the design team — a group of different individuals with different skills, tools, and functions, all uniting towards a common goal.

There are five key areas to pay attention to when building a good, strong design team.

- **Team design:** This means building an autonomous team that collaborates well with other departments such as the business department and technical team, but is not crippled into inaction without constant direction or supervision from other departments;

- **Talent design:** This involves producing maximum productivity by ensuring that every member of the design team is matched to a task that most suits their unique talents. This also involves constantly motivating, improving, and engaging with your team;

- **Method design:** This involves the use of a minimum viable product to obtain constant user feedback through various product iterations and improve the design of your services. This is not only customer-centric and faster in the long run, but it is cost-effective as well;

- **Engineering design:** By using certain tenets as key guidelines, your design team can greatly improve their ability to innovate, adapt and increase efficiency. These include continuous integration, infrastructure-as-a-code, monitoring, continuous deployment, and collaboration;

- **Architecture design:** The design architecture acts as a bridge between the visible front end and the complexity of the backend. A front end should be focused on high-speed, customer-centric innovation. On the other hand, the backend transition should be

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more gradual to avoid destabilizing the trust built by the familiarity between the users and the service.

Talent and Mindset
It's important that every company understands that their image is built upon the customer's opinion, built upon their interaction with the service. Therefore, building a talented team that can create a top-notch product is one of the critical components of building a successful aaS service. This entails talent transformation through training in technology, problem-solving, soft skills, and full support from an organizational standpoint.

MAKING THE PIVOT TO AS-A-SERVICE EXPERIENCES

Making the decision of transitioning into an as-a-Service business model is not as easy as it sounds. It requires a multi-year commitment and numerous challenges due to the shift in cost structure, supply chains, support models, and sales. That is why the process must be made as smooth as possible. This involves several steps which include:

1. Fully embracing the needs, responsibilities, and challenges expected from shifting from a more traditional business model to an aaS model;

2. Creating a superior customer experience through the ability to innovate, adapt, preempt, expand and implement new services;

3. Building in a data-driven structure that assists to measure future telemetry. This helps to capture data that can assist to predict future product development;

4. Rethinking your strategy as the go-to-market and

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route-to-market of an aaS business model is lumberyard different from a traditional one;

5. Creating a purpose-built subscription-based infrastructure to drive sales and monetization strategies to create a more predictable revenue stream and increase customer retention;

6. Understanding the responsibility of building a flexible, adaptive, and agile structure to drive innovation;

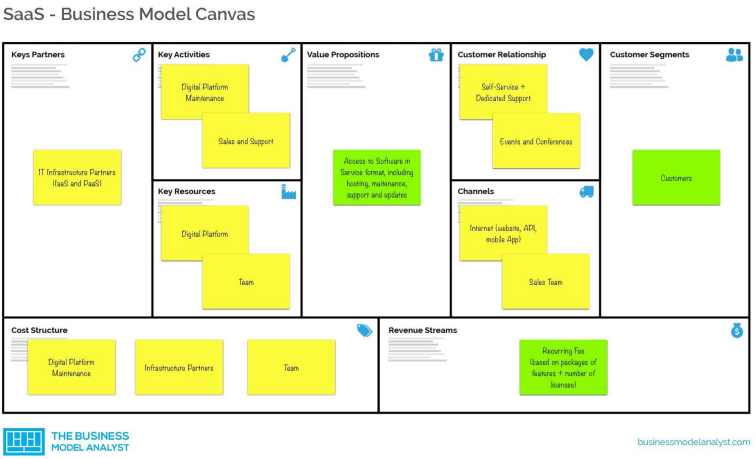
7. Grasping the holistic concept of an aaS business model, the components it entails, and how they interact to create a finished product.

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HOW TO DEVELOP AN AAS BUSINESS MODEL?

Building a business plan requires a significant amount of planning and insight due to the peculiarities of the business model. Thankfully, there are certain tools that can be used to build the basic framework for your aaS business model.

DEVELOP YOUR BUSINESS MODEL CANVAS



The Business Model Canvas is a useful tool that can be used to build a basic layout of how a business operates. It is a unique visualization tool created by Professor Yves Pigneur

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and Dr. Alexander Osterwalder, at the University of Lausanne in Switzerland in 2005.

The standard chart is made up of nine core building blocks. Generally, these areas can be divided into four categories: **Client-based areas** (customer segments, customer relationships, and distribution channels), **offer-based areas** (value propositions), **resource-based areas** (key resources, key partners, and key activities), and **finance-based areas** (revenue streams and cost structure).

FILLING IN YOUR BUSINESS MODEL CANVAS TEMPLATE

Let's take a closer look at each segment and what they mean within the field of business development.

Value Propositions

The value propositions are a summary of the products/services offered by your company. It's also an outline of why a potential customer should choose your products/services over that of a competitor. For an aaS, this can vary widely. However, the key advantages offered by most aaS platforms include reduced costs, greater expertise, increased scalability, and greater mobility.

Customer Segments

This refers to the particular demographic your product/service targeted towards, e.g. lower-income/higher-income households, families/singles, and so on. The aaS model is more common among tech companies, so this will determine your consumer segment to a great extent.

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Distribution Channels
How do you intend to communicate with your patients? This can be through email, text messages, an official website, social media platforms, and advertising. For example, an aaS company can maintain a mailing list of all its regular users.

Customer Relationships
Customer relationships involve how a business and its client interact within the context of the product/service delivery. This may be through personal assistance, dedicated personal assistance, self-service, communities, and so on. Customer relationships also include how the business plans on acquiring new clients, retaining old ones, and encouraging clients to expand their existing services.

Revenue Streams
This refers to how a business plans to generate income from the products/services they offer to its consumers. Typically, aaS business models work using either a subscription-based model, pay-per-use model, freemium model, per-user model, or function as a pay-as-you-go service.

Also involved is the pricing mechanism that will be used by the business. This may be volume-dependent (how much of the service is used), customer segment-dependent (who is using the service), product feature-dependent (what is the quality of the service offered), or a fixed list pricing.

Key Activities
This refers to essential activities which must be carried out to ensure the business functions properly, which may include research and development, production, service delivery, marketing, customer service, and so on.

Key Resources
Key resources are the inputs that are required for this particular business model to work. This involves things such

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as material resources, technological inputs, human resources, intellectual property, financial resources, and so on.

Key Partners
Key partners are other businesses or entities which are essential to the functioning of your business. They may offer key services, maximize profits through economies of scale, reduce risk, help in resource acquisition, and provide other key services.

Cost Structure
This involves all costs that are linked to the operation of the business and the delivery of services. This may include employees' salaries, facilities maintenance, acquisition of equipment and software applications, and so on.

Your cost structure is generally divided into fixed costs, ongoing costs, and one-off costs. Some other classes include product development costs, customer acquisition costs, and so on.

Knowing this will help you to calculate your burn (the amount of money you spend monthly to run the business minus your monthly revenue) and your runaway (how long you can sustain the current business model before running out of cash). It also allows you to calculate your growth rate as well.

FIND A NICHE

After creating your Business Model Canvas, you will be in a strong position to highlight the strengths and weaknesses of your business model. Consolidating these strengths is key to the success of any aaS company. This involves finding a niche within the market where consumer needs have not been fully addressed or where you believe you can provide better services.

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DEFINE YOUR POSITIONING, MARKET, COMPETITORS

After defining your niche, it's important to build your brand image around it. Positioning is a term that refers to consumer perception about your brand and how it relates to competitors. This involves discovering your key competitors early on and creating a unique brand image for your aaS business to distance it from the crowd. This requires a complete understanding of the consumer's needs, your company's capabilities, and what your competitors currently offer as well.

IDENTIFY TECH STACK

This involves identifying the necessary resources, technology, and tools required to make your business plan a success. This can range from physical infrastructures — such as servers, computers, office facilities, and so on — to non-physical resources — such as software and applications.

CHOOSE A PRICING STRATEGY

The wrong pricing strategy can render even the best business idea useless. Your monetization model should be built on a well-known pricing model, but still, be uniquely structured to the type of services you offer. It can even involve integration with third-party payment processing services such as PayPal and Visa. It requires an understanding of consumer behavior and preferences, your position in the market, the pricing strategy used by your key competitors, and the ability to be adaptable as any of these

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factors may change rapidly.

ASSEMBLE A DEVELOPMENT TEAM

As we mentioned before, your development team is quite important when it comes to the success of the service. A team with the relevant experience, skills, tools, and motivation is necessary to convert your vision into a reality.

RELEASE A PRODUCT

This involves a solid release strategy built around advertising, publicity, great customer communication channels, and a reliable schedule leading up to the release date.

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METRICS FOR AN AAS BUSINESS MODEL

Constant monitoring and evaluation of your business are very important. It helps you to measure the rate of growth of your company and allows you to compare this data with set targets. However, due to the increased complexity of aaS models and the fact that they are relatively new to the business scene, measuring this growth can be somewhat difficult. Luckily, there are several trusted metrics that can be used to reliably measure the rate of business growth.

CUSTOMER ACQUISITION COST (CAC)

HOW TO CALCULATE CUSTOMER ACQUISITION COST (CAC)



Your customer acquisition cost (CAC) refers to the total resources utilized to acquire a new customer. It may be a

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challenging metric to accurately measure, but it is certainly an important one. To calculate this, you will need to know the average number of customers acquired, the cost of customer acquisition through marketing, and, of course, the number of man-hours dedicated to this task as well.

A low CAC is a good indicator because it shows that your company is relatively successful in attracting new customers at a low cost. High CAC values are a red flag, especially when your total CAC is higher than your Monthly Recurring Revenue or Annual Recurring Revenue (more on these later). It also allows you to determine if the cost of customer acquisition is changing, which communication channels offer the lowest CAC value, and when it is least expensive to acquire customers. Your CAC is also an important variable when calculating other important metrics such as the LTV:CAC ratio.

LIFETIME VALUE (LTV)

HOW TO CALCULATE CUSTOMER LIFETIME VALUE (CLV)

$$\text{CLV} = \frac{(\text{ARPA} \times \text{Gross Margin \%})}{\text{Churn Rate}}$$

The lifetime value (LTV) is simply an estimate of the expected gross revenue from a customer over the entirety of their time using your product. Mathematically, it can be calculated as your MRR/ARR X Customer Lifetime. It can also be expressed

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as the average customer revenue multiplied by the gross margin percentage divided by the customer churn rate.

Your LTV is a very important metric and when combined with the CAC to calculate your LTV:CAC ratio it gives you a simplified look at the sustainability of your current business model. Generally, the LTV:CAC ratio should be at least 3. This means that you make at least three times as much from a customer than you spent to acquire them. It indicates a healthy revenue stream and gives some leeway in the event you experience a decline in LTV or an increase in your CAC.

MONTHLY RECURRING REVENUE (MRR) AND ANNUAL RECURRING REVENUE (ARR)

HOW TO CALCULATE MONTHLY RECURRING REVENUE (MRR)



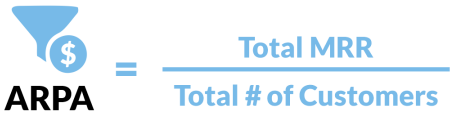
Just as their names suggest, your MRR and ARR refer to how much revenue your service is expected to bring in any given month versus how much revenue you may expect in a year. In general terms, an increase in MRR or ARR is a strong sign of growth. However, for the monetization models most commonly used with aaS business models — such as

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subscription-based models or pay-as-you-go services —, an MRR value is more important.

Your MRR can also be used to calculate your average revenue per account (ARPA). This is simply the total MRR divided by the number of customers who use your services. It's important to remember that MMR/ARR is not an indicator of profitability because your expenses are not factored in. However, your MMR/ARR should include discounts, upgrades, downgrades, and loss of recurring revenue.

HOW TO CALCULATE AVERAGE REVENUE PER ACCOUNT (ARPA)



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CHURN RATE

HOW TO CALCULATE CHURN RATE



The churn rate refers to the number of customers or subscribers who cancel their subscriptions over a given period of time. It can also include the number of customers who downgrade their subscriptions for whatever reason. This can be measured monthly or annually. Obviously, a high churn rate is a significant indicator of poor customer retention, one of the leading causes of aaS startup failure.

This is one of the reasons why customer feedback is vital. It allows you to discover certain shortcomings or complaints that users may have with your service and allows you to address these before they lead to catastrophic failure. These adjustments may range anywhere from pricing, available features, product design, efficiency, and even brand image.

The churn rate can be calculated as the number of subscribers lost in a month divided by total subscribers at the start of that month times 100. A great churn rate is a value below 5%, however, this can vary widely depending on your business model. Companies aimed toward small businesses and large volume contracts can tolerate higher churn rates

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than those who have a small, yet dedicated, large business clientele base

RETENTION RATE

The retention rate is almost the polar opposite of your churn rate. It is a measure of how long you can successfully maintain a customer per your subscription model (usually weekly, monthly, or annually). A healthy retention rate may indicate strong growth, high-quality services, a great marketing strategy, and a strong brand image.

There are two main types of retention rates: the customer retention rate and the MMR retention rate.

- The customer retention rate focuses on how many customers continued using your services during a particular time period. If your customer retention rate is going higher, your churn rate should be falling. To calculate customer retention rate, simply divide the number of active customers that are currently continuing their subscriptions at the end of the month/year by the total number of active users you had at the beginning of that same time period;

HOW TO CALCULATE CUSTOMER RETENTION RATE (CRR)

$$CRR = \frac{\text{Number of customers that continue to use the software}}{\text{The total numbr of customers at the start of the time period}} \times 100$$

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- Your MMR retention rate is a measure of your MMR for that given month against your MMR at the beginning of the month. It is calculated by dividing the MRR of renewed subscriptions by the total MRR of subscriptions up for renewal.

It is important to calculate both forms of retention rates because, even if your customer retention rate is high, if a large number of users decide to downgrade their subscription, this can lead to significant losses. Therefore, the customer retention rate does not paint the entire picture accurately when used alone.

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VALUATION OF AS-A-SERVICE BUSINESS MODELS

AaS business models have several significant differences from traditional business models, however, they do share certain similarities. This includes several metrics which are used to measure the value of an aaS business. An aaS business is valued as a multiple of:

- Revenues
- Seller's Discretionary Earnings
- EBITDA

Let’s explore each of these metrics separately and discover which particular aspects of the company each takes into consideration.

REVENUE MULTIPLES

Many aaS startups need significant upfront investment to get off the ground. Therefore, according to industry standards, they are running a negative balance sheet until they break even and start to generate positive cash flow. SDE and EBITDA work using net profits and therefore cannot be used for the valuation of companies that are not yet maximized for profit. This leaves the revenue multiple as the only viable

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option.

This can be used only in startups with fast-growing revenue and the potential to upscale rapidly. This is because a startup's revenue estimates how long it will take a company with a negative balance sheet due to break even and generate positive cash flow by measuring its net sales or gross revenue.

Mathematically, it can be expressed as traced in the formula below:

Revenue multiple = The selling price of the company / Annual revenue of the company

The first step is to calculate the revenue multiple, by obtaining the selling prices of several comparative companies and dividing them by their annual revenue. The average of the values obtained is the median revenue multiple. Since this value is now known and the annual revenue of the company is known as well, these can be substituted into the following formula to obtain:

The selling price of the company = Revenue multiple * Annual revenue of the company

SELLER'S DISCRETIONARY EARNINGS (SDE) MULTIPLES

Seller's Discretionary Earnings is a financial metric which is used to measure the value of a business. SDE is mostly used for small to midsize companies (typically with valuations below $5 million), which are privately owned and have achieved a steady rate of growth, stable income, and a low intent towards reinvesting their earnings back into the

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business.

According to the International Business Brokers Association (IBBA), SDE is defined as:

"THE EARNINGS OF A BUSINESS PRIOR TO INCOME TAXES, DEPRECIATION, AMORTIZATION, INTEREST, NON-OPERATING INCOME AND EXPENSES, NONRECURRING INCOME AND EXPENSES, ONE OWNER'S ENTIRE COMPENSATION (INCLUDING BENEFITS AND ANY NON-BUSINESS OR PERSONAL EXPENSES PAID BY THE BUSINESS)."

Mathematically, this can be expressed as traced in the formula below:

SDE = Revenues – Costs of goods sold – Operating expenses + Owner compensation

The main advantage of the SDE is that it helps to standardize your income against that of similar companies within the industry, creating a more accurate impression of your company's value. Owner compensation (also known as add-backs) are expenses that are added back to the calculated net profit in order to place the figures as close as possible to the true earnings actually from the business. These include the owner's salary, interest, depreciation, amortization, loans, and so on.

EBITDA MULTIPLES

EBITDA stands for Earnings Before Interest, Taxes,

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Depreciation, and Amortization. It is generally used for larger businesses (usually with valuations above $5 million) and is used to estimate the cash flow generated by a company. The first step is to find out the EBITDA of similar companies which have been sold recently. Simply divide their sale value by their EBITDA to obtain the median multiple.

After this, calculate the EBITDA of your company. The mathematical formula for calculating EBITDA is expressed as traced below:

EBITDA = Earnings + Interest + Taxes + Depreciation + Amortization

When this has been deduced, simply multiply it by the median multiple to obtain an approximation of your company value. One issue with the EBITDA multiple however is that it fails to take into consideration the non-cash flow factors which are considered when valuing a business such as market positioning, intellectual property, human resources, and so on. Also, the EBITDA multiple does not account for fixed asset expenditures or a number of accruals. Therefore, the EBITDA should be used to obtain a rough estimate of company value.

OTHER FACTORS TO CONSIDER WHEN VALUING A SAAS BUSINESS

Aside from cash flow and profits, there are many other factors that must be considered when calculating the value of a company. Many of these assets are intangible and therefore hard to valuate. However, their importance cannot be overemphasized and should be considered closely as well.

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Customer Acquisition Channels

As we mentioned before, small and medium enterprises (SMEs) sometimes have the issue of a high churn rate. That means that a significant amount of their resources are spent on recruiting new customers every month through their various customer acquisition channels. Therefore, investors are interested in aaS companies that have multiple customer acquisition channels with a strong organic base and solid conversion metrics.

Through the lens of potential investors, these channels can be appraised using three key criteria: **concentration**, **channel competition**, and **conversion**.

- Concentration refers to the diversity of customer acquisition channels a company employs, including both organic channels — such as content marketing — and paid channels — such as affiliate marketing;
- Channel competition refers to the strength of each customer acquisition channel when ranked against close competitors. A low ranking of course will reduce the value of the business;
- Conversion implies the conversion-to-trial ratio and conversion-to-paid ratio, as well as the associated CAC of the aaS company.

Product Lifecycle

Innovation is the backbone of any successful aaS business model. It can be driven by a changing market environment, increased competition, or simply spontaneous development. However, even within these cycles of innovation, there are periods within the product lifecycle where it strives for stability and acceptance among its consumer base before seeking to release a new iteration.

Most investors prefer to acquire a business during this stage

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of maturity, as it gives them a stable background to integrate themselves into the business structure and its inner workings before a new product is released.

Technical Knowledge
Many investors within the aaS industry are not technically inclined and therefore need the support of those with expertise within the field. Therefore, most investors may be discouraged if they suspect they may not be able to retain members of the team who are essential to the success of the business.

Due to their lack of technical knowledge, replacing these mission-critical members may not only be expensive, but lead to disastrous results as well. Therefore, investors prefer some level of commitment from key team members or at least the assurance that their skill sets can be easily replaced.

Competition
While competition drives innovation, it does so on the graves of many startups and companies which failed to keep up with changing trends. Investors are very interested in the competitors of any potential business they wish to acquire and the market positioning of the company against its competition.

This is especially relevant in aaS businesses, which incur a high degree of development costs and are typically backed by well-funded venture capitalists. That means that smaller, poorly funded startups have a much lower chance of surviving in such a competitive market.

Age of the Company
The age of a startup is very important. Up to 93% of SaaS startups fail within the first three years. That means that a startup that has lasted for a significant amount of time has demonstrated a strong sign of a sustainable business model.

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Also, older companies have a wealth of data and experience to draw from, which makes them more predictable when it comes to estimating future revenue.

However, despite the high failure rate of young SaaS startups, startups younger than two years are an ideal target for smaller investors with a higher tolerance for risk. This is because they are relatively cheap (most firms start receiving premium multiples after three years in business), have rapid initial growth phases, and therefore can produce larger returns on investment.

Owner Involvement

There are many ways to successfully run a company as a CEO, from a more laid-back executive with strong delegation skills to a more hands-on approach that puts you right in the middle of all the action. There exists a wide Spector between both of these extremes, and most company CEOs find themselves somewhere in between.

From an investor's standpoint, most potential buyers prefer a well-built structure that can survive even if there is a change in leadership. Having a chief executive who is very integral to the success of the startup may present difficulties if they have to be replaced during the purchase. This may either lead to higher costs in finding a competent replacement or scare off potential investors, both of which lower the value of the company.

Growth Trends

In most cases, no investor is interested in purchasing a failing company. Therefore, aaS companies that have consistently demonstrated strong indications of growth, development, and stability usually fetch a premium valuation from investors.

Of course, the easiest way for a potential buyer to measure the strength of this growth is through various trusted growth

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metrics, such as the CAC, MRR, LTV, churn rate, retention rate, and so on. These form objective indices which can be used to measure and prognosticate the success of a company.

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CASES OF AS-A-SERVICE BUSINESS MODELS

Here are some practical examples of how the aaS business model can be applied.

ORIGINAL EQUIPMENT MANUFACTURER (OEM)

This involves a product manufacturer who leases their technology to users, usually using a subscription-based or pay-as-you-go monetization model. This is commonly used among companies that operate IoT devices, which allows them to receive information from their product remotely.

A good example is the Rolls-Royce jet turbine engine, which it charges aerospace customers based on a fixed price depending on the number of hours they fly. The Rolls-Royce company handles the maintenance of the engines and monitors their performance remotely using IoT sensors.

RENTAL OR LEASE

Even though aaS is commonly associated with cloud-based computing technology, it can also be applied to more traditional products as well. A good example would be the model employed by Zilok, which allows users to rent things

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like strollers, cars, gaming consoles, and power tools, from other people.

BUSINESS-TO-BUSINESS (B2B) OR BUSINESS-TO-CONSUMER (B2C) MODELS

B2B companies cater directly to other businesses. AaS has become a significant part of this industry, as this can clearly be illustrated using Signify, a Dutch multinational lighting corporation that offers its services to the Schiphol Airport. The maintenance, optimization, and replacement of the lighting fixtures are handled by the company.

B2C companies meanwhile direct their business efforts primarily toward customers. For example, Lynn & Co, a Chinese-Swedish automobile brand owned by Geely Automobile Holdings offers aaS car services that allow users to rent cars using a monthly subscription model which costs €500/month. The customers however take care of the maintenance, fueling, insurance, and road tax.

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ADVANTAGES OF AS-A-SERVICE BUSINESS MODELS

Let's take a closer look at the key advantages of adopting an aaS business model.

Recurring Revenue Stream
It offers a stable, reliable revenue stream due to the fact the users are only temporarily renting your infrastructure using a subscription-based model. This makes it easier for the business to predict its monthly revenue and offers a more reliable framework for growth. This system also makes it much easier for the users to calculate their monthly costs when using the service.

A Dedicated and Engaged Customer Base
One advantage of aaS services is that they encourage longtime service use and promote customer loyalty. This is likely because your aaS has become an integral part of their business structure or personal lives, leading to increased dependence and dedication to the brand.

Predictive Instead of Reactive System
One of the important features of aaS models is their ability to drive innovation and preempt consumer needs. Instead of merely reacting to changes in consumer sentiment, they create solutions to issues that consumers did not even know they had.

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In-depth Customer Data Analytics
Due to the long-term relationship between both consumers and aaS service providers, there is a wealth of data to draw from, leading to deeper customer insights and better services. This comes in the form of a continuous feedback loop between the service providers and users through various customer channels.

Lower Costs
AaS services are typically a cheaper alternative for most users because they do not have to bear the burden of purchasing, upgrading, and maintaining the infrastructure itself. Therefore, premium services can be made accessible to a wider customer base due to economies of scale.

Flexibility & Scalability
This is another key advantage of aaS services. It is due to the fact that they do not have to purchase or update existing infrastructure when upgrading their services. It simply involves upgrading their subscription and accessing new features from their service providers.

Free Upgrades
AaS service providers are constantly working at the backend of their services to increase both efficiency and customer satisfaction, usually without the user even knowing it. This frees the user from the burden of constantly updating the infrastructure, both in cost and manpower. It also makes pivoting, support, and improvement much easier.

Mobility
A large number of aaS services allow remote work from virtually any internet-capable terminal. This is becoming increasingly important, as most users now consider this a deal-breaker when considering service providers. This is also

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because a lot of service providers are multi-platform and work with a range of operating systems, which greatly widens your options.

Installation Speed
Accessing these services is much quicker since the user usually does not have to purchase any software or hardware. By simply subscribing, they will have access to a wide range of features.

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DISADVANTAGES OF AS-A-SERVICE BUSINESS MODELS

Despite all its benefits, there are some shortcomings that are common to most aaS businesses.

Difficulty in Making the Shift to aaS
The transition from a traditional product-based business model to an aaS service can be quite demanding. It requires a significant amount of expertise, leadership, dedication, and financial commitment. A well-built business plan and roadmap are required, and many firms may not have the required technical ability or financial support to successfully make this transition.

Requires More User Engagement
Shifting to an aaS model requires a significant overhaul of existing products and services. The aaS business model is focused on more than just selling a product to a user through a one-time transaction. It must also maintain this relationship over a period of time, something which requires constant engagement with the user and a significantly higher level of commitment.

Increased Product Complexity
A true aaS company doesn't just try to cater to as many users as possible. They also aim to increase the utility of their services by offering as many features as possible to ensure

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that users obtain maximum satisfaction with their services. However, this leads to increased complexity which may manifest in numerous ways such as increased operating costs, frequent product failures, and even an unfeasible business model.

Security Requirements

One issue a significant number of users have with aaS services is the security risk involved with storing or exposing potentially sensitive information to a third-party service. Therefore, it is important that aaS businesses ensure users of top-notch data security and comply fully with all regulations involving data handling.

Higher Operational Costs

Most aaS businesses require a significant amount of upfront investment and have high operational costs. This is because a large number of resources are invested in the purchase, maintenance, and upgrading of the infrastructure used to run the business. Therefore, it may take some startups some time to reach break-even and eventually become profitable.

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CONCLUSION

The rise of the aaS model has been driven by several key industry factors, which include increased ecosystem complexity, expanding partnerships, and changing customer expectations. This pressure has pushed many businesses towards implementing a scalable, flexible, and more predictable business model which promotes steady recurring income.

However, the transition from a traditional business to an aaS business model is certainly difficult and requires a high degree of technical knowledge and leadership. It involves identifying the unique challenges your business will face while implementing this system and the most feasible ways of bridging these gaps.

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